tax come under this area.

b. Tax on commodities

Taxes like Excise duty, Custom duty fall under this category.

c. Tax on Property & Property Transaction

Taxes like Wealth tax, Estate & Succession duties are classified under this category.

Tax Base

Tax base is the legal description of the object with reference to which the tax is payable. It may have a time dimension like a year or month.

E.g. Base of excise duty is production of commodities.

Base of income tax is the income of individual.

Tax Buoyancy

It measures actual or observed change in tax revenue relative to GDP.

Buoyancy = Proportionate change in the tax revenue/Proportionate change in GDP

Tax Buoyancy= %ΔT/ %ΔGDP

Where, ΔT = Change in Tax revenue

ΔGDP = Change in Gross Domestic Product

Here, the change in the tax can be for two reasons. One is due to automatic increase and another one is due to discretionary changes in tax rate or coverage or both.

Change in tax rate will lead to change in tax revenue. Change in